

home equity loans are much lower than the rates on most credit cards, so besides the obvious slash in the interest rate, you may be eligible to reduce your interest costs even more by deducting the home equity loan interest from your taxes. Don't forget that even if you can deduct 28 percent of mortgage interest if you're in the 28 percent tax bracket, the other 72 percent still comes out of your pocket.

Exercise extreme caution when you consider borrowing against the equity in your home. If you get into trouble financially due to job loss, illness, medical bills, or divorce, you may not be able to make your mortgage payments and the lender may foreclose on your house. Don't jeopardize your most valuable asset if you really can't afford the increased mortgage payments or if you haven't made changes in your spending habits and credit use.

Use the Credit Crunch Method

This method of paying down debt goes by a number of different names, but whatever the name, the strategy is the same. It seriously reduces your interest expense, which could be 90 percent of your monthly payment if you've been paying the minimum, and it allows you to pay off your balances sooner.



If you drive an expensive car, consider getting a less expensive one. It's not just that the monthly payment is higher for an expensive car; the repairs and maintenance, special tires, gas, and insurance also cost more. Drive a reliable, inexpensive car for a few years and apply the savings to your credit card balances.

First, to really get a handle on your debt, prepare a schedule of your debts, listing the creditor, the balance due, the interest rate, and the current monthly payment. Rank the debts in descending order by interest rate